so insignificant that the entire purpose was defeated. For many years their lending limit was ₹70,000. The agreement value would be much lower than the actual transaction amount. HDFC introduced a system whereby their technical personnel would go to the site and come up with the appraised value. HDFC then loaned 70 percent of the appraised value which could not be more than the agreement value. Deepak recalls that in effect they funded most of the agreement value and the gap was funded by cash. There were no foreclosure laws and the SARFAESI (Securitization and Reconstruction of Financial Assets and Enforcement of Security Interest) Act was passed only in 2002.[21]

HDFC had a successful first year of operations. It sold over 10,000 forms of which 1,600 were received, 785 sanctioned and 299 disbursed. The average loan to the individual was around ₹32,000 and the average loan, including companies and co-operative credit societies, was ₹11,000. Since HDFC had no source of subsidized funds it could not extend financial support to the lowest income groups who were unable to repay loans even at low rates of interest. HDFC had the obligation to operate as a viable enterprise and to service its borrowed funds and shareholder's capital. In its first year, HDFC lent mainly to those residing in the metropolitan cities of India. Its operations indicated that its borrowers were largely in the income range of ₹600 to ₹1000. Besides granting direct loans to individuals, HDFC also provided finance to companies for the residential requirements of their employees.[22]

N. Vaghul, recalls how he first met Parekh in an official capacity when he was Executive Director at the Central Bank of India. At that time it was difficult for HDFC to raise funds. Vaghul and Parekh became good friends despite the big difference in age. Vaghul also recalls telling him that the only way banks could help HDFC was if the RBI agreed to treat housing as a priority sector. Parekh was so enthused by the idea that he wanted to meet the Executive Director at the RBI immediately. Vaghul says that he was amazed at the energy and enthusiasm that Parekh many years his senior, showed for his pet project. Parekh did ultimately meet the officer at the RBI, but nothing came of it.[23]

GROWTH AND MATURITY